HH 68-26
Case No FA2-25

OLD MUTUAL LIFE ASSURANCE COMPANY ZIMBAWE LIMITED
versus
ZIMBABWE REVENUE AUTHORITY

FISCAL APPEALS COURT

MAFUSIRE J
HARARE, 29 September 2025

Assessor: Mrs R. G. Kangai

Date of judgment: 30 January 2026

Fiscal appeal

Mr M. Tshuma, for the appellant
Mr S. Banda, for the respondent

MAFUSIRE J

a Introduction

[1] The appellant has appealed to this court a certain decision by the respondent on 15 December 2024. The dispute is crisp but deceivingly simple. Is the interest paid for late rent payments liable for value added tax (vat) or not?

[2] The appellant, a registered life assurance and investment company operating in Zimbabwe, among other things, leases out commercial properties to diverse tenants as part of its investment portfolio. The respondent, a central collector of revenue for Government through a diverse range of taxes, is an administrative authority established in terms of the Revenue Authority Act [*Chapter 23:11*]. Among a variety of such taxes is vat which the respondent collects or receives in terms of the Value Added Tax [*Chapter 23:12*] ["***the Act***"].

[3] In performing its administrative functions, the respondent, among other things, conducts *ad hoc* assessments or audits on registered operators to check on, and ensure their compliance with their tax obligations.

[4] The appellant's tenants pay their rent in advance. In terms of the standard lease agreement, it levies interest on late rent payments. Clause 29.4 of that lease agreement stipulates that interest on arrear rentals "**shall be capitalised as at the first day of each and every month**".

b The facts

[5] In respect of the appellant, the respondent carried out an audit for the tax years 2019 to 2023. The appellant was not charging vat on the interest on late rent payments. The respondent considered that the appellant was obliged to charge vat on such interest. It considered that the appellant was in breach of the Act. As a result, the respondent issued notices of assessments to the appellant, raising amounts in the sums of US$227 826-21 and ZiG$557 009-10 as vat arrears in respect of the non-payment of vat on the interest.

[6] The appellant objected. Its argument then and now is that interest on late rent payments is not vatable and that therefore, the respondent was not supposed to have issued the assessments in question. In this appeal, the appellant wants the assessments set aside.

c Appellant's case

[7] As understood by myself, and in summary, the appellant's case is this. Interest on late payments of rent is not a consideration for the supply of goods or services. As such, it is not vatable. For that interest, there is simply no corollary supply of goods or services. The supply is the letting of the commercial properties. The consideration are the standard rents. The interest has no relation to the two. The charging of interest by the appellant is a business decision to limit the loss that it incurs on the time value of money by reason of the late payments.

[8] Mr *Tshuma*, for the appellant, puts it this way. If an item for sale, say a ball point pen, costs a dollar, and interest is charged at 10% for any late payment, the cost to the one that pays late becomes $1.10. That does not mean that the price of the pen becomes $1.10. It remains $1. It is the $1 that is taxable, not the $1.10. The extra 10c is compensation to the seller to indemnify it for the time value of money lost through the late payment. It is not

part of the consideration for the pen. That is the construction of the Act the appellant urges upon the court.

[9] In support of its argument, the appellant has referred to comparative vat laws and practices in the European Union (EU) countries and South Africa (SA) the tax regimes of which are, according to the appellant, the same or similar to ours. The appellant concludes that, from the case law on tax and tax manuals of these jurisdictions, there is no vat on interest on late payments. The appellant has drawn particular attention to some English VAT Manual which allegedly says in para 4.4 on late payment penalties:

> "If you do not explicitly allow your customers to defer payment and impose a penalty because they have not paid by the due date, the penalty is not consideration for a supply and is outside the scope of the VAT."

[10] The appellant posits an alternative argument in case the one above does not find favour with the court. It says that should it be construed that the late payment of rent is a contractual deferment of payment for a supply, then such would amount to the provision of credit by the appellant to its tenants and would still be vat-exempt as a financial service under s 11 of the Act.

[11] To the respondent's argument that in terms of the contract between the appellant and its tenants, the interest on late rental payments is "capitalised" and is thereby merged with the principal rental, in the process losing its character as interest, and therefore, becoming vatable, the appellant argues that such a construction goes against the grain of authority in this jurisdiction and those from abroad where it has been emphatically determined that interest never loses its character as interest, no matter how it is treated in accounting practices.

c Respondent's case

[12] Also as understood by myself, and in summary, the respondent's case is this. The interest in question, whatever name is given to it, is a consideration within the meaning of the Act. It is vatable. It is a consideration for the supply of something. A relationship exists between that interest and the supply. Such interest is the direct result of that relationship.

It is part of the causal and inexorable link between the supply of space by the appellant and the rent payments by its tenants. Without the supply of space, no interest arises.

[13] Furthermore, this interest, like discounts, is but only an upward alteration of the consideration, especially given that contractually, it is capitalised. Section 21(1)(*c*) of the Act allows for the alteration of a consideration. Late payments constitute an upward alteration, just as early payment discounts constitute a downward alteration.

[14] The standard lease agreement between the parties provides for the capitalisation of the interest. This further reinforces the argument that late payment interest becomes part of the principal rental amount or consideration.

[15] Unlike the interest on loans which are classically financial services, the interest on rent, when capitalised, is paid for the month to come and not for the month past when the tenant was already in occupation.

[16] Contrary to the appellant's argument that it supplied a financial service which is exempt under s 11 of the Act, s 2(1) of the Act defines financial services strictly as loans, credit or guarantees. The appellant supplied none of these. Rent was payable in advance. Interest was arising only as a penalty for late payments, not as part of financial services.

[17] Case law from comparative jurisdictions like the EU and SA that the appellant relies on actually confirms that interest on deferred payments until delivery forms part of the consideration.

e The issues for determination

[18] Paraphrased, the parties listed the issues for determination as follows: [i] whether or not the interest charged by the appellant is consideration for the supply of goods or services in the course and scope of the appellant's trade, and thus liable to vat, and [ii] if that interest is that consideration, whether or not it is nonetheless exempt from vat as a supply of financial services.

[19] Put simply, the court is being called upon to answer the question whether the interest payable by the appellant's tenants on the late payment of rent, the consideration for the premises they occupy, is vatable in terms of the Act. That is the question.

f The statutory framework

[20] Shorn of excessive verbiage, s 6(1)(*a*) of the Act provides for a tax that is charged, levied and collected on the ***supply*** of goods or services by a registered operator in the course or furtherance of any trade carried on by him. In s 2(1) of the Act, "***supply***" is defined broadly to include "*all forms of supply, irrespective of where the supply is effected*". The provision goes on to say that any derivative of the word "***supply***" shall be construed accordingly.

[21] I guess some derivatives, or synonyms of the word "***supply***" include "provide", "offer", "furnish", "deliver", "give", and so on. Regrettably, the definition above is not very illuminating. It does not help answer the question whether the interest levied by the appellant on late rent payments by its tenants is vatable or not.

[22] Of course, the tax being referred to in s 6(1)(*a*) of the Act is vat. This type of tax is transaction-based. Thus, the statutory trigger for vat is not the mere receipt or collection of money. It is the existence of a taxable supply of goods or services for consideration. Goods or services are exchanged for a consideration, usually in the form of money, like the sale of goods, the leasing of property, and so on.

[23] Also excluding excessive or irrelevant verbiage, s 2(1) of the Act, defines "***consideration***", in respect of the supply of goods or services, to include "***any payment made … …, whether in money or otherwise … … in respect of … … the supply of any goods or services …*** " There is imbedded in this definition the principle of reciprocity, that is, something for something, or *quid pro quo*. Rent is the *quid pro quo* for the supply of accommodation. The purchase price is the *quid pro quo* for the transfer of ownership of goods sold. What about the interest on late payments? That is the question.

[24] The Act does not directly deal with the situation under consideration. It does not provide for the charging of interest as may be levied on any consideration paid late. Obviously, if it did, this case would not be before the court, or the issue would probably have been cast differently. This means that it is the duty of the court to interpret the legislation and tell what the law is from the language of that legislation.

[25] The respondent relies on s 21(1)(*c*) of the Act as read together with clause 29.4 of the lease agreement for the argument that the late payment interest constitutes an upward alteration of consideration analogous to a surcharge.

[26] Section s 21(1) of the Act deals with credit and debit notes in relation to the supply of goods or services by a registered operator where, among other things, the supply has been cancelled (para (*a*)), the nature of that supply has been fundamentally varied or altered (para (*b*)), the previously agreed consideration for that supply has been altered by agreement, whether due to the offer of a discount or for any other consideration (para (*c*)) (*emphasis by the respondent*).

g Interest

[27] So, what is interest? What is its purpose? According to WEBSTER'S *New Twentieth Century Dictionary*, Unabridged Series, 2nd ed., and the Concise Oxford Dictionary, interest is money paid for the use of money lent or for not exacting repayment of a debt. F. A. MANN, *The Legal Aspect of Money*, 4th ed., at p 110 (n146), quoted with approval by CHINHENGO J in *Mawere v Mukuna* 1997 (2) ZLR 361 (H), says:

> "… interest is awarded to compensate for the deprivation of the use of money due until payment."

[28] In *Thoroughbred Breeders' Association v Price Waterhouse* 2002 (4) SA 551 (SCA), para 85, p 86, the purpose of interest was explained as follows:

> "Our courts accept without requiring special proof that a party who has been deprived of the use of his capital for a period of time has suffered a loss. At the same time it is accepted that in the normal course of events such a party will be compensated for his loss by an award of *mora* interest …"

[29] Thus simply put, interest is charged as compensation for the withholding of another's capital. A tenant that pays its rent after the due date is withholding the landlord's money. That is the rationale for the interest charged. Whilst such interest is intrinsically linked to the rent, nonetheless, it remains identifiable as interest, even if it is capitalised. It does not become the rent, or a part of it.

h Capitalisation of interest

[30] At common law, and in accounting practice, capitalisation of interest entails the addition of unpaid interest to the principal debt with the result that further interest also accrues on the combined amount. It is settled law in this jurisdiction and elsewhere that the capitalisation of interest is a matter of accounting convenience only. It does not alter the intrinsic legal character of interest: see *ZB Bank Ltd v Eric Rosen (Pvt) Ltd & Ors* 2015 (1) ZLR 314 (H) and *Standard Bank of South Africa Ltd v Oneanate Investments (Pty) Ltd* 1995 (4) All SA 128, the *ratio decidendi* of which was upheld by the Constitutional Court of SA in *Capitec Bank Ltd v Commissioner for the South African Revenue Service* CCT 209-22 [2024] ZACC 1.

[31] In *Oneanate* above, capitalisation of interest was described as a process whereby a debt for unpaid interest is substituted by a new debt for capital, with the result that the interest liability ceases to exist. Only the substituted capital is then owing.

i Synthesis

[32] It is now time to answer the question whether the interest levied by the appellant for the late payment of rent by its tenants is vatable or not. It is not. There are a number of reasons why.

[33] If interest does not lose its identity or character as interest, no matter the capitalisation process, and even *in duplum*, then it cannot possibly be considered as part of the standard rent when the appellant charges and capitalises it. The respondent argues that whilst for the purposes of the *in duplum* rule, interest will maintain its character as interest, for tax purposes it will be capitalised to form part of the consideration, especially if it is interest

for late payments as opposed to the interest one pays for the use of another person's money.

[34] It is my view that the respondent is seeking to draw an artificial distinction between *in duplum* interest and interest for late payment of rent to bring the appellant into the tax bracket. Unfortunately, it has no statutory backing for this kind of approach. I proceed to demonstrate how.

[35] The respondent argues that in terms of s 21(1)(*c*) of the Act, the late payment interest constitutes an upward alteration of consideration analogous to a surcharge. Whichever way one construes it, s 21(1)(c) does not provide for the upward variation of any consideration or the charging of any extra tax. It provides for a specific mechanism for the ***adjustment of tax invoices*** where the consideration for a taxable supply has been altered. Let me explain.

[36] No supply accompanies the charging of late payment interest. Interest is not the *quid pro quo* of any supply. It is a penalty for late payment. You keep your landlord out of his money beyond the agreed date, you pay a penalty as compensation. There is no additional supply or service or benefit. The tenant receives nothing new when he pays the penalty. His right to occupy the premises flows from the original lease. It is already fully accounted for by the rental. Let me explain further.

[37] A European Court of Justice [ECJ] judgment emanating from some ruling by a German domestic court in respect of an EU statute, *B.A.Z. Bausystem AG v Finanzamt München für Körperschaften,* Case 222/81, [1982] ECR 2527; [1982] 3 CMLR 688 (ECJ) held that, at p 2539:

> "Having regard to the above-mentioned provisions, it should be noted that the interest in question in the main action has no connection with the services provided or the receipt of the services and does not constitute the consideration … relating to a commercial transaction. On the contrary, it represents simply the reimbursement of expenses, that is to say compensation for the delay in payment."

[38] Thus, the ECJ held in the *B.A.Z.* case above that as the interest had no connection with the services rendered, and as it did not represent part of the consideration in a commercial transaction, but merely represented compensation for the delay in payment, it was not part of the taxable amount."

[39] I adopt the reasoning in the *B.A.Z.* case. It seems consonant with our legislation. Section 21(1)(*c*) of the Act cannot be construed to mean that the legislature intended to expand or to deem a further supply for vat purposes. Vat is charged in terms of s 6 of the Act. Section 7 identifies deemed and special supplies. Section 9 deals with the value of supply of goods or services. Late payment interest is not part of such value. Section 21 deals with the adjustment of tax invoices where a taxable supply has already been identified and taxed. It provides *guidanc*e for the passing of credit and debit notes. It does not introduce or define any special kind of supplies.

[40] As noted before, s 21(1) of the Act lists the circumstances that may trigger the issuance of credit or debit notes. These are the cancellation of a supply; the variation or alteration of a supply; the change in the agreed price of the supply; and the return of goods or services. Plainly, these situations share a common and essential feature: they presuppose an existing supply the consideration for which would have been incorrectly reflected by reason of these factors. Thus s 21(1) does not create a new supply. It corrects the vat on an old supply. That is not all.

[41] Section 69(1) of the Act reads:

> "**69 Prices deemed to include tax**
> (1) Any price charged by any registered operator in respect of any taxable supply of goods or services shall for the purposes of this Act be deemed to include any tax payable in terms of paragraph (*a*) of subsection (1) of section *six* in respect of such supply, whether or not the registered operator has included tax in such price."

[42] Thus, in this case, the standard rent charged by the appellant, by operation of the law, necessarily includes vat. Interest for late payment is outside that price. If it is outside, it cannot be taxed again on the same supply. To do so, the respondent would be exerting

double taxation. Put crudely, if this interest is a penalty, it is compensation or the *quid pro quo* for the hurt or commercial grief or pain the landlord suffers by reason of late payment. You don't tax grief or pain. It is not a supply.

[43] Much as the interest on late payments may be quite attractive and inviting to the respondent as a source of revenue, on a proper construction of the legislation it is simply beyond its reach. There is no equity about a tax. There is no room for any intendment (*per* LORD ROWLATT J in *Cape Brandy Syndicate v IRC* (1921) 1 KB 64; 12 CT 358).

[44] As LORD CAIRNS put it in *Partington v The Attorney-General* 21 LT 370, at 375 [English & Irish Appeals, Vol IV, p 100, at p 122], cited by DE VILLIERS JA in *Commissioner for Inland Revenue v George Forest Timber Co Ltd* 1924 AD 516, at pp 531 – 532:

> "… as I understand the principle of all fiscal legislation, it is this: If the person sought to be taxed comes within the letter of the law he must be taxed, however great the hardship may appear to the judicial mind to be. On the other hand, if the Crown, seeking to recover the tax, cannot bring the subject within the letter of the law, the subject is free, however apparently within the law the case might otherwise appear to be. In other words, if there be an equitable construction, certainly such a construction is not admissible in a taxing statute, where you can simply adhere to the words of the statute."

j Appellant's alternative argument: interest as a financial service

[45] The appellant's alternative argument, in the event that this court does not find for it in the main, is whether the interest in question nonetheless, falls within the statutory exemption applying to financial services. Having found for the appellant in the main, this aspect falls away. However, it also has to be considered, given that it was listed as one of the issues for determination.

[46] In s 2(1) of the Act, "***financial services***" include, among other things, the provision of any deposit, loan, or credit (*emphasis added*). Financial services are vat-exempt in terms of s 11 of the Act. In the months that the appellant's tenants default or delay in paying rent, the appellant in fact, extends a supply on credit. If the tenants pay rent in arrears instead of in advance, their occupation of the premises for the period that the rent is outstanding is on credit. This compares very well with what the ECJ said in a judgment

on deferred payment for the price of goods in the case of *Muys' en De Winter's Bouw-en Aannemingsbedrijff BV v Staatssecretaris van Financien*, Case C – 281/91, [1993] ECR 1 – 5405 [ECJ] from the Netherlands. It said, at p 1- 5430:

> "It should be held *in limine* that deferred payment of the purchase price of goods, in return for payment of interest, may in principle be regarded as a grant of credit which is exempt within the meaning of that provision."

[47] Interest for late rent payment comes within the definition of financial services in terms of s 2(1) of the Act as read with s 11(*a*). As considered above, the late payment interest compensates the appellant for the time value of money during the period in which payment is deferred.

[48] In *Muys'* case above, the court said, in paras 13 and 14, at p 1 – 5431:

> "… the expression 'the granting and negotiation of credit' is in principle sufficiently broad to include credit granted by a supplier of goods in the form of deferral of payment. Contrary to the Commissioner's view, the wording of that provision in no way suggests that there is any limitation of the scope of [that provision] only to loans and credits granted by banking and financial institutions. … … [T]he Sixth VAT Directive … aims in particular to secure equal treatment for taxable persons. <u>That principle would be disregarded if a purchaser were to be taxed on credit by his supplier, whereas a purchaser seeking credit from a bank or another lender received an exempted credit</u>." (*my emphasis*)

[49] I consider *Muys'* case above also to be consonant with our law. Accordingly, even if the respondent was correct in contending that the late payment interest is connected to a supply for vat purposes, which the court does not accept, such interest would nevertheless constitute an exempt financial service. On this other basis, the interest charged on late rental payments falls outside the vat net.

k Disposition

[50] The appeal succeeds. The valued added tax assessments raised by the respondent against the appellant on 23 August 2024 in respect of the tax years 2019 to 2023 are hereby set aside. The appellant has made no prayer for costs. Therefore, the appeal succeeds but with no order as to costs.



2 February 2026

Mawere Sibanda Commercial Lawyers, legal practitioners for the applicant
ZimRA's Legal Services Division, legal practitioners for the respondent